(iv) Financial advisor

The accountant analyses financial information and advises the business managers regarding investment opportunities, strategies for cost savings, capital budgeting, provision for future growth and development, expansion of enterprise, etc.

(v) Tax manager

The accountant ensures that tax returns are prepared and filed correctly on time and payment of tax is made on time. The accountant can advise the managers regarding tax management, reducing tax burden, availing tax exemptions, etc.

(vi) Public relation officer

The accountant provides accounting information to various interested users for analysis as per their requirements.

Points to remember

- Accounting is termed as the language of the business.
- There are various branches of accounting such as financial accounting, cost accounting, management accounting, social responsibility accounting and human resource accounting.
- There are three bases of accounting namely cash basis, accrual or mercantile basis and mixed or hybrid basis.
- There are several persons who need the accounting information - internal users and external users.
- Accountants have several roles and responsibilities.

Self-examination questions

K9E1N

I Multiple choice questions

Choose the correct answer

1. The root of financial accounting system is
   (a) Social accounting (b) Stewardship accounting
   (c) Management accounting (d) Responsibility accounting

2. Which one of the following is not a main objective of accounting?
   (a) Systematic recording of transactions
   (b) Ascertainment of the profitability of the business
   (c) Ascertainment of the financial position of the business
   (d) Solving tax disputes with tax authorities

3. Which one of the following is not a branch of accounting?
   (a) Financial accounting (b) Management accounting
   (c) Human resources accounting (d) None of the above.

4. Financial position of a business is ascertained on the basis of
   (a) Journal (b) Trial balance
   (c) Balance Sheet (d) Ledger

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